

**BEFORE THE
FEDERAL MARITIME COMMISSION**

46 CFR Part 545

Docket No. 19-05

RIN: 3072-AC76

Interpretive Rule on Demurrage and Detention under the Shipping Act

COMMENTS OF RICHARD J. ROCHE

I, Richard J. Roche, am employed as Vice President of International Transportation at Mohawk Global Logistics Corp, OTI No. 00395NF, headquartered in North Syracuse, NY. We operate six other branch locations across New York, and in New Jersey, Ohio, and Illinois.

Mohawk Global Logistics is a member of the NCBFAA where I serve as the NVOCC Sub-Committee Chairman for the Transportation Committee. As such, I am quite familiar with Demurrage and Detention (D&D) practices and the problems and costs involved when they are applied inequitably.

First, I would like to applaud the Commission for taking on this complex and most important issue as it impacts the entire cross-section of ocean carrier's, marine terminal operator's, chassis suppliers, NVOCC's, customs broker's, trucker's, and customer's operations. To be clear, D&D

charges have a necessary place in ocean commerce. Demurrage serves to incentivize the rapid removal of cargo from marine or rail terminals and Detention helps ensure the timely return of equipment back to these terminals. Without a proper D&D schedule applied after the expiration of prescribed free time, cargo might otherwise linger at terminals, and empty equipment might not be returned in a timely fashion. This has the effect of slowing down flow through the terminals that reduces efficiency for all involved parties. It is therefore not the purpose of these comments to suggest that D&D charges be reduced or eliminated. Instead, it is the fair and equitable application of free time and D&D charges that is paramount to keeping our commerce flowing.

AVAILABILITY

We applaud the Commission's insight regarding the creation of a new document that offers Notice of Availability. This is long overdue. Truckers must proactively and continuously pour over multiple websites to check on availability of containers they have been assigned. In the ports of Los Angeles and Long Beach, there are 13 different terminals they must garner this information from. With the advances in technology today, it would not be a hard leap for terminals to push this information out to those qualified parties that have opted in to receive it (IE. NVOCC, Customs Broker, Trucker and/or Consignee). This is a terrific recommendation that we hope is adopted in a uniform way across all terminals and carriers. It provides great benefits of timeliness, transparency, and record of milestone achieved that we do not enjoy today.

Notice of Availability should also serve as a trigger for commencement of the free time clock for demurrage. Currently this varies from one terminal to the next causing confusion for those trying to schedule pick-up of inbound cargo, which begs the question: When is a container truly available? Best practice would define a container as being available when it meets all these tests:

1. Discharged from the vessel or other conveyance (includes all containers on single lading)
2. Assigned to a location on the terminal
3. Location on terminal is accessible (not closed)
4. Appointments are available (if appointment required)
5. Free of all holds (freight, documentation, or government holds)
6. Chassis is available (for those terminals/carriers that mandate certain chassis fleet be used)

When the above tests are satisfied it would be reasonable to say the cargo is available and the free time clock can commence. Conversely, if any of the above tests are not satisfied, then it would be unreasonable to define the cargo as being available and the free time clock should not be started. Further, a change in status of any of the above should also serve to stop the free time clock from running until resolved. This is particularly true if the cargo is located in an area of the terminal that subsequently becomes closed, where the free time clock should be stopped for the duration that cargo is no longer accessible. We have numerous examples where our trucker comes for a container previously determined to be available, but on arrival finds out that part of the yard has been closed, and the truck is subsequently voided off the terminal. Worse, the trucker may have

this happen more than once on the same container, or they may get shut out for appointments within the remaining free time thereby ending up with demurrage charges once they are able to get back in. Some terminals are better than others about waiving the need for a new appointment. Some may even extend free time as a result of voiding out the truck, however, the procedures for appealing under these circumstances are not well defined and often not uniformly applied. It is our hope however that when a trucker is voided out from a terminal due to that terminal's inability to make the container available, the terminal would automatically extend free time to cover the free time lost, and would either waive the need for new appointment, or make new appointment available at any time selected by trucker during the extended free time. This hardly compensates for the trucker's dry run, but is the least that can be offered to correct the situation.

GOVERNMENT HOLDS

In cases of government holds, there are conflicting practices around the country. Long Beach for example does not charge against free time when a Customs exam has been declared, whereas most other terminals around the country do. This scenario must be examined more closely as it can become very costly for the importer, and not necessarily something that importer could have prevented. We view random government inspections as fortuitous for the importer, yet beneficial for all in the name of national security. While CTPAT importers may have less random inspections, even they will be pulled at one time or another. The costs can multiply quickly. There may include:

- a. dray fees to the exam station
- b. an exam fee
- c. demurrage charges for time on terminal
- d. more demurrage charges for containers on the same bill of lading that are orphaned on the dock until the inspection is completed
- e. liner detention charges for extended use of the equipment.

We had an importer called for inspection on earlier this year for two containers that took over three weeks to complete. Much of the delay was due to the transfer of so many CBP inspectors to the southern border, which caused slowdowns in processing the inspections in New York. After some \$ 6,000.00 in dray and exam charges, the ocean carrier sent an invoice of their own for \$ 11,000 in detention charges to cover the extended time these 2 containers were out for inspection. We pleaded the case with the carrier who agreed to reduce the charges by 10%, but commented that the balance would be difficult to argue down because they now recognize this as a revenue stream (as provided in their tariff), and until other carriers stop charging, they feel compelled to collect these charges. Ironically, the amount they reduced the charges to might well be more than the value of the containers if we were to purchase them outright. In many cases the mounting charges far exceed the value of the asset or the lost revenue opportunities for the carrier. When contemplating multiple containers on a single lading where one goes to inspection, the ensuing charges for the remaining containers can easily mount into the tens of thousands of dollars for a relatively short

duration. Add holidays and congestion intervals into the mix, and the importer, suffering their own delay in receiving their cargo, may end up with an untenable invoice upon completion, like one of our smaller clients received following Christmas and New Year's week on a large slug of containers that just about put them out of business.

In taking the view of the terminals and ocean carriers for a moment, it is clear that government holds cause them a hardship too. The terminal is using their resources to store the container and the return of the carrier's equipment may be delayed during the extended time for exam. There should be compensation to both the terminals and the carriers in these cases. We do not feel full D&D charges are appropriate however in the case of government holds. In order to incentivize rapid removal and timely return of containers, D&D charges are built to cover actual cost of the assets plus a punitive fee to truly incentivize the move. In the case of government holds however, no one can be incentivized, therefore D&D charges with their natural punitive component are not the right mechanism for charging. A more realistic approach would be to assign the true cost of the resources as 'special government hold' demurrage or detention charges or cap the fee at 25% assuming the punitive aspect being removed is 75%, or thereabout. Under such scenario the terminals and carriers would more fairly compensated, and the cargo owners would not be heavily penalized for this fortuitous occurrence that is out of everyone's control. The way it stands today, terminals and carriers can hide behind their tariffs during government holds and earn a windfall profit the longer the containers are in process. This methodology does not serve the shipping

public well. Government hold D&D charges should not be charged on an escalating scale and should be capped to an amount that mitigates the punitive aspect of the charges.

EMPTY CONTAINER RETURN

This past year has been one of the worst for empty container return following the 2018 prolonged peak season. Our truckers went for many days or weeks on end trying to return large numbers of carrier's containers to west coast terminals that were either closed to empty returns or required dual moves only. When winding down peak season, there are typically more empty containers being returned than full containers available to pick up, so single empty returns are more commonly needed, and without inbound loads, dual moves are harder to effect. When terminals go for days without accepting single moves, the trucker is stuck holding the container, usually on a chassis that is being charged for daily, and in a storage yard that is also charging daily. When a few single slots open up, everyone scrambles to get there with empties, quickly closing the yard down again. Truckers enroute to the facility (they know to be open at the time they dispatched) may be turned away once they arrive, causing yet another dry run. These scenarios should trigger extended free time, but in many cases, they are counted against the importer, and detention invoices are sent. Some carriers argue the containers should be returned to a different facility, but typically they are more distant, or also closing down. A centralized clearing house that tracks real time empty return locations in these cases would be of great assistance.

DETENTION AND DEMURRAGE PRACTICES

We welcome clarity in terminology across our industry. Demurrage referring to charges incurred by land assets and detention for containers not returned timely to the carrier are simple and distinctive enough that other terms like per diem, liner demurrage, and storage should not be interchanged for simple detention and demurrage terminology.

Timeliness of invoicing D&D charges is also a problem. We frequently get invoices well after the fact, which becomes problematic for re-invoicing clients, or disputing if required. Much like the UIIA has a time limit for invoicing and disputing charges, so too should D&D charges have a limitation as to how long after the transaction they can be invoiced, say 30 days, and allowance of a similar time frame to begin and/or respond to a dispute. Currently the dispute process is not well defined and can drag on for months or years as some cases we have recently concluded.

We agree there must be formal dispute resolution practices posted by each carrier that includes proper contacts, timelines, and what evidence is required to properly assess a dispute. The OCEMA website is a good start, but even some of those presently listed could use more complete and succinct content.

We support creating a list of acceptable evidence to be used in disputes such as geo-fencing, screenshots, e-logs, photos, and other such items that our truckers can furnish in pursuit of a formal dispute process.

We do not limit our comments to imports, but in fact are very hopeful that once in the care, custody and control of carriers or their terminal agents, that D&D charges cannot ensue for practices beyond the control of the importer or exporter. This means there should be no D&D charges for carrier haulage moves, store door delivery, or exports-on-terminal, where scheduling of deliveries or delays in loading the vessels currently result in such charges to the importer or exporter. This practice must stop.

Lastly, when in dispute, the requirement by terminals and carriers to be paid up front before container release must be eliminated. Truckers, Forwarders, NVOCCs, Customs Brokers and BCOs are compelled to pay first and argue later. If we delay the process in order to state our case, the charges continue to mount. If we do pay before resolution, we have little chance of full refund even if our case has merit. In the case of detention charges billed and disputed after the fact, the terminals collecting on behalf of the carriers will frequently shut out truckers from access to their terminals when coming to pick up another unrelated container, again compelling payment before resolution. While working with one ocean carrier to resolve many months of incorrect detention charges that took another 18 months to unravel, we witnessed several of the involved truckers get

shut out by terminals, sometimes for invoices that had already been credited by the carrier. These transactions are in many cases much more than arm's reach away, billed by a terminal, to a trucker that is contracted to the consignee, not necessarily related to the NVOCC, whose detention free time is added to the contract by the ocean carrier. Refunds are always harder to come by than rescinded or credited invoices. The dispute process should provide for temporary payment waiver and prohibition of shut out while a legitimate dispute is in process.

Thanks to the Commission for providing this process for comment.

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